coverage means bringing new groups of economic units (tax base) into or leaving existing groups out of taxation. The introduction of negative list in service tax is an example for this. The negative list system brought all the services into service tax net except services listed in the negative list.

Tax Elasticity

Proportionate change in tax revenue, without any discretionary change, relative to GDP is called tax elasticity. Tax revenue that is calculated after setting aside the change in tax revenue due to discretionary changes is called adjusted tax revenue.

Tax Elasticity = Proportionate change in Adjusted tax revenue/Proportionate change in GDP

Tax Elasticity=%ΔAT/%ΔGDP

Where,

ΔAT = Change in Adjusted Tax Revenue

ΔGDP = Change in Gross Domestic Product

Example:

Total change in tax revenue is 20 per cent. Out of this, change in tax revenue automatically is 10 per cent and due to discretionary changes like change in tax, the rate is 10 per cent.

Change in GDP is 10%. Then

Tax Buoyancy = 20/10 = 2

Tax Elasticity = 10/10 = 1

These measures help in forecasting the tax revenue and in deciding the policy regarding tax rate and coverage to achieve targeted tax revenue.